Of course, we had a time-tested policy and a big-picture strategy in place for exchange rate management. The Reserve Bank also has a well-established process for operationalizing the strategy in the form of a financial markets committee which meets every morning, and in crisis times, several times during the day to review the tactical plans. Even so, market developments are often so volatile, and twist and turn in such unforeseen ways that we are forced to swiftly tweak our tactics in real time.

The second factor that makes exchange rate management an especially daunting task is the challenge of managing expectations. Managing expectations to alter behaviour is critical to the success of several aspects of Reserve Bank policy, such as, for example, preserving financial stability and controlling inflation. What is different in managing expectations about the exchange rate is that in times of pressure, market behaviour becomes susceptible to even stray bits of news, leading to speculative self-fulfilling prophecies. When expectations about the exchange rate become as volatile as the exchange rate itself, spiralling one-way bets on the currency become a distinct risk.

Why do I specifically pick on the 2013 exchange rate pressure as a particularly difficult challenge? For sure, we had exchange rate episodes earlier in my tenure too, most notably in the midst of the global financial crisis towards the end of 2008. But in 2008, we were not alone; many countries, both advanced and emerging, had exchange rate pressures, giving us the comfort of numbers. Also, in 2008, our macroeconomic situation was more supportive; inflation had suddenly fallen—in large part because of the crash in the global oil price; output growth was still rapid, the fiscal deficit was on the mend, and most importantly, our forex reserves were relatively robust. In 2013, in contrast, we were one of a small group of emerging economies, the ‘fragile five’, which came under severe pressure. Our reserves were low, inflation was high, commodity prices were firming up, fiscal consolidation lacked credibility, and growth prospects were at their bleakest in nearly a decade.